Broker Responsibility Guide

How to Meet TREC Requirements

RECORDS MANAGEMENT

TEXAS REALTORS®

Records Management

Why does this need to be in my manual?

Records Management: TREC ("Texas Real Estate Commission") Rule 535.2(i)(8) requires brokers to maintain current written policies and procedures to ensure records are properly maintained.

What do I need to know?

TREC Rules 535.2(h): TREC rules require a minimum list of records that must be kept in a readily-available format for a period of at least four years from the date of closing, termination of the contract, or end of the real estate transaction. It would be advisable to keep a notation on each file indicating when the records can be destroyed based on the above-mentioned retention period.

Records to Maintain:

TREC specifically requires the following records to be maintained:

1. Disclosures
2. Commission agreements
3. Substantive communications with parties to the transaction
4. Offers, contracts and addenda
5. Receipts and disbursement of compensation for services subject to the Real Estate License Act
6. Property management contracts
7. Appraisals, broker price opinions, and comparative market analyses
8. Sponsorship agreements between the broker and sponsored sales agents

Other Records Required to be Maintained:

1. Scope of a sponsored sales agent's authorized acts and any limitation of that scope.
2. Delegation to a license holder the responsibility to assist in administering compliance with the Act and TREC Rules.

Other Notable Records: A broker should consider also maintaining advertising records, continuing education records, and errors and omissions insurance records.

Record Retention Schedule: Whether the retained records are hardcopy documents or electronic images of documents, a reference log or filing system should be developed so that the records can be readily available. If electronic images are utilized, a broker must be able to reproduce or transmit the record upon request.

© 2019 Texas Association of REALTORS®, Inc. All rights reserved.

What else should I consider?

Special Level of Recordkeeping and Retention for the IRS: A broker may want to consider adopting the same practices noted above for a period of seven years, which is required in the event of an allegation of fraud.

Personal Information Protection Act: If a license holder maintains a consumer's name along with other personal identification number, such as social security number, driver's license, or a credit card or other financial information, brokers should consider additional rules and statutes when adopting a privacy policy. Brokers who perform property management or leasing activities should especially consider these additional requirements. The following statutes are applicable:

A. The Fair and Accurate Credit Transactions Act of 2003 and the FTC rules adopted under that Act (16 CFR 682)
B. Sections 501.051, 501.052, 501.053, Business and Commerce Code.

The Texas Business and Commerce Code §501.052 requires the adoption of a privacy policy if a person is required to disclose a social security number in order to receive goods or services or to enter into a business transaction with that person. Maintain the confidentiality and security of any social security number obtained.

Please see and consider adopting the Texas REALTORS® Model Privacy Policy available to all members. You can find this policy on the Texas REALTORS® website at https://www.texasrealestate.com/members/legal-and-ethics/resources/manuals-and-guides/.

Disaster Recovery: Even though TREC Rule 535.2(h) excuses brokers from having records destroyed by an "Act of God," a brokerage should outline recovery procedures to be taken in the event of a disaster such as fire, water damage, etc., and also for foreseeable occurrences such as a computer hardware crash.

1. Digital records should be backed up nightly and stored at a remote location or taken off site.
2. Hard-copy files should be maintained in one location within the office. It would be advisable to scan the hard copy and convert it into an image that can be stored by a computer.

© 2019 Texas Association of REALTORS®, Inc. All rights reserved.